Standard Operating Procedure (SOP)

Title: Party Return Note (PRN) Process – In Place of Return Purchase Order

1. Objective:

To define a standardized procedure for processing goods, return to vendor using **Party Return Note (PRN)** in place of **Return Purchase Order (RPO)** for improved tracking, accuracy, and workflow simplification.

2. Scope:

Applicable to all departments involved in procurement, store, and accounts handling vendor returns where materials are returned due to rejection, excess quantity, quality issues, or incorrect supply.

3. Responsibility:

Department	Responsibility
Purchase	Verification of return reason & approval
Stores	Initiating PRN with actual returned items
Accounts	Reconciliation of return value and vendor ledger

4. Definitions:

- **PRN (Party Return Note):** A document initiated by the Store, Purchase, P&M Coordinator department to record material returned to vendor.

5. Procedure:

Step 1: Identification of Return

- Store or QC identifies items to be returned due to damage, rejection, or excess.
- Ensure reference of original PO/GRN is available.

Step 2: Approval for Return

- Raise a return proposal with reason (e.g., quality issue, excess supply, Wrong Supply, Damages Receipt).
- Get internal approval from Purchase / QC / HOD (as applicable).

Step 3: PRN Entry in System

- Open Party Return Note Entry Module.
- Enter the following details:

- Vendor Name & Code
- Original PO / GRN Reference
- Material Code, Description, Quantity
- Reason for Return
- Location / Plant
- Return Type (Rejection / Excess / Wrong Item)

Step 4: Document Verification

- Attach all supporting documents:
  - Original PO copy
  - GRN
  - QC Report (if applicable)

Step 5: Material Dispatch

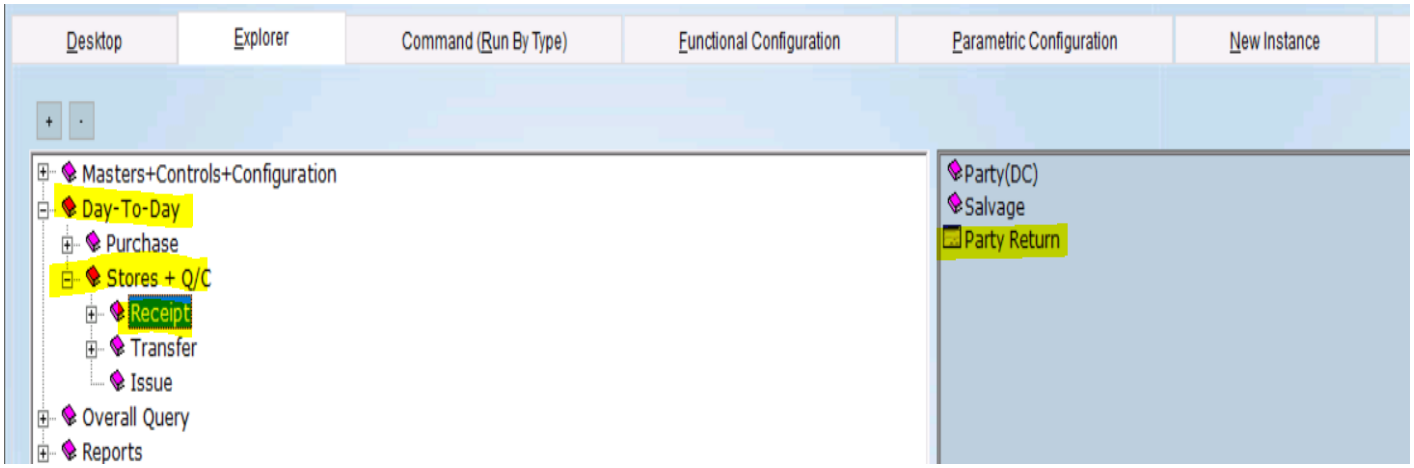
- After PRN is system-approved:
  - Physically dispatch material to the vendor with transport details.
  - Generate and send Delivery Challan along with PRN copy.

Step 6: Accounting Entry

- System posts the return quantity and reverses inventory impact.
- Accounts to review and reconcile debit note generation if required.
- Vendor ledger updated accordingly.

Note: - Please herewith of ERP Process flow

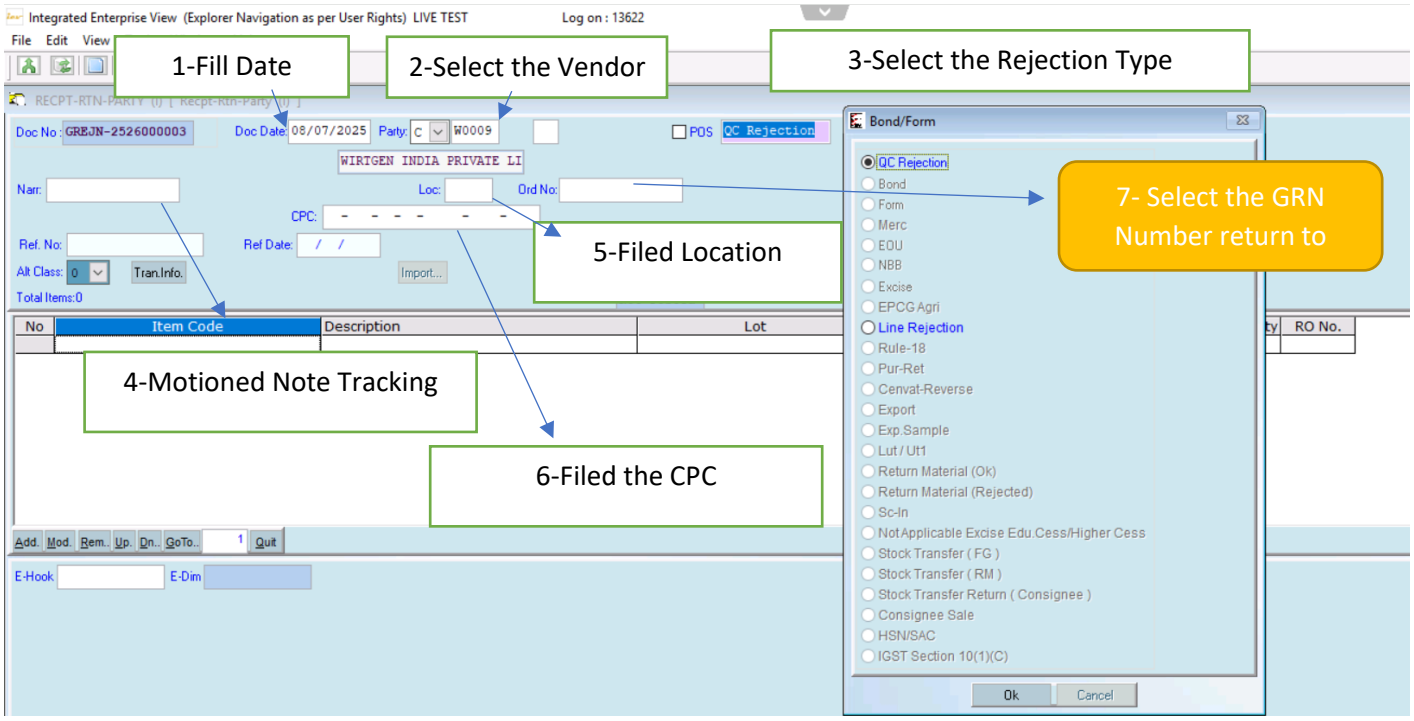
DAY-TO DAY→ STORE QC→ RECEIPT→PARTY RETRUN



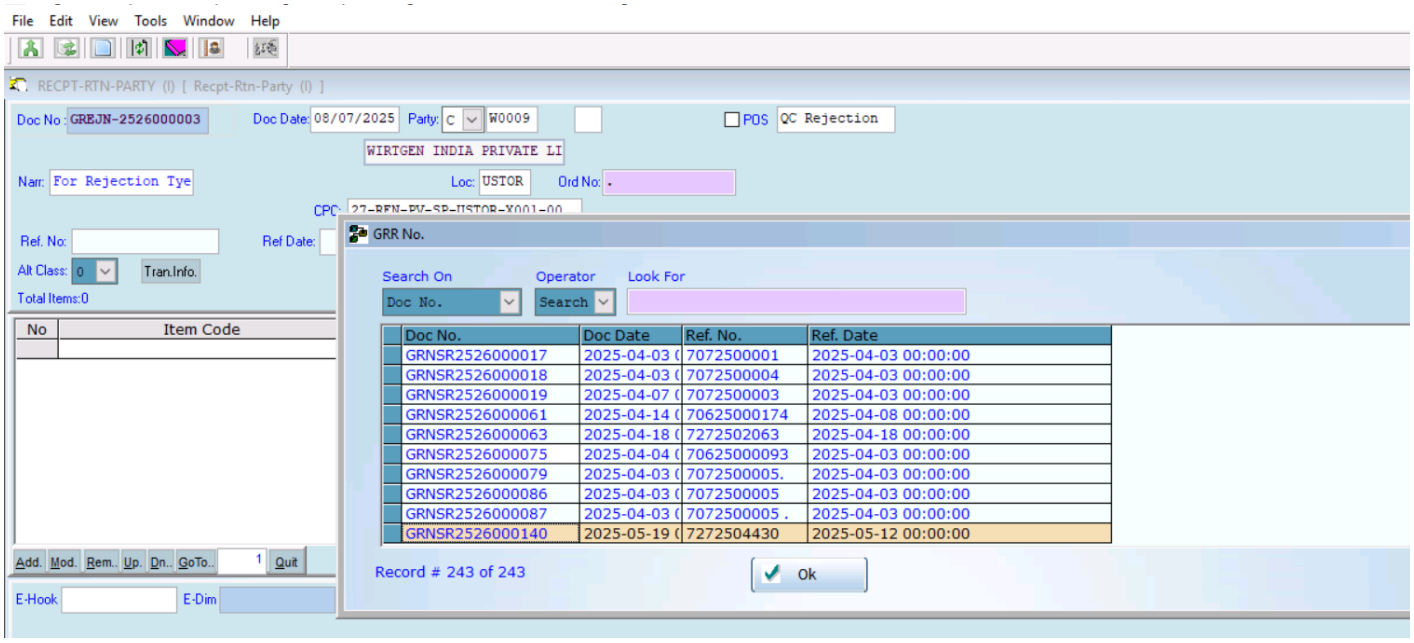
Add New Document → Fill the Date → Select the Creditor Vendor → Select Types of Rejection → QC Rejection / Line rejection

Header Level

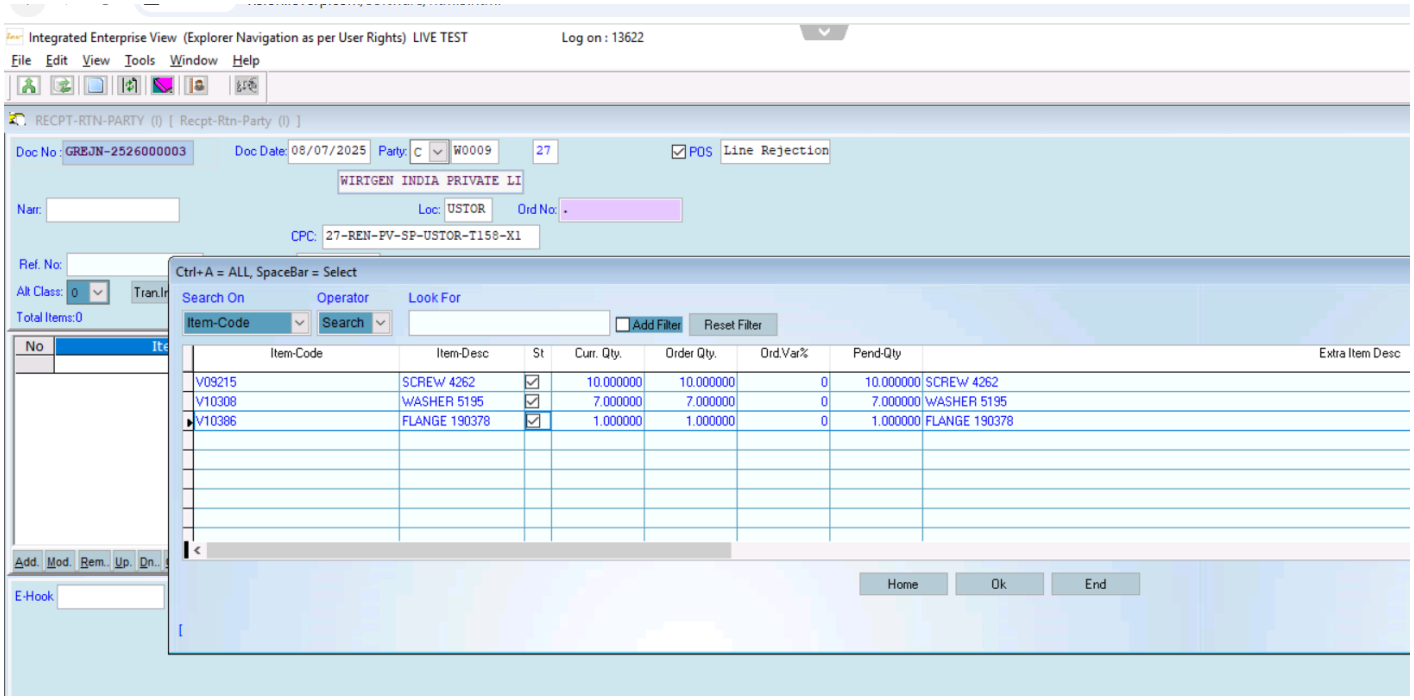
1) **Filled Dated**
2) **Selection the Vendor**
3) **Selection the Rejection Type**
4) **Mentioned Narration**
5) **Selection the Location**
6) **Filed the CPC**
7) **Select the Order (GRN Number) for Return to Vendor**

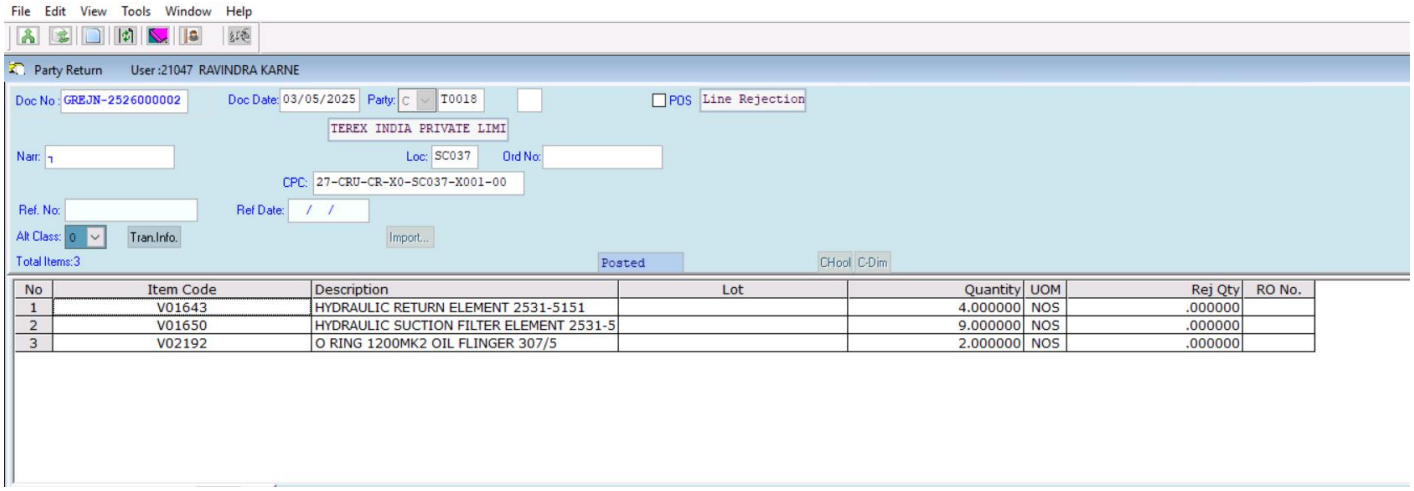


2) GRN Selection for return to Vendor



Once Select GRN automatic Item Selection & tick for return item to Vendor & OK





No	Item Code	Description	Lot	Quantity	UOM	Rej Qty	RO No.
1	V01643	HYDRAULIC RETURN ELEMENT 2531-5151		4.000000	NOS	.000000	
2	V01650	HYDRAULIC SUCTION FILTER ELEMENT 2531-5		9.000000	NOS	.000000	
3	V02192	O RING 1200MK2 OIL FLINGER 307/5		2.000000	NOS	.000000	

Note :- Save the Document & Retun Note Approval matrix

1) **Mr.Anil Chavan / Mr. Jabahar Singh (01 St Approval)**
2) **Mr. Riyaz (Final Approval)**